The Biggest Investment Opportunity May Be the One You're Ignoring

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The primary point of the episode is that investors should avoid fixating on a single macroeconomic narrative and instead look for converging "second-order" themes where capital can be deployed more efficiently. While technological hype drives market valuations in areas like AI, genuine long-term value exists within demographic certainty (an aging population) and healthcare trends (GLP-1s). The speakers argue that by understanding the structural drivers of demandâ€”such as joint replacements, hospice care, and chronic disease managementâ€”investors can find companies trading at reasonable valuations relative to their growth prospects, avoiding the volatility inherent in "trillions of dollars" betting on undefined tech outcomes.

2. Key Arguments & Data

3. **Market Performance:** S&P 500 closed down 0.2%, while Q3 was down 0.14%. Volume (VIX) hit a year low at 17.9, with spot vol at 14.26. Short-term yields rose despite economic data suggesting a slowdown (2Y up 2bps, 10Y up 4bps).
4. **Economic Slowdown:** Retail sales missed expectations (-0.4% vs +0.1% expected) and UMish sentiment dropped to 51. The bond market signaled that any further rate pullbacks could push yields higher again given the current high-leverage environment.
5. **Oil & Geopolitics:** The Strait of Hormuz faces significant capacity issues (avg drawdown of ~5 million barrels/day from SPR). Recent reports indicate over 18 ships have been hit in Red Sea operations with suppressed reporting, though US oil import surges suggest Asian/European supplies are being affected by these disruptions.
6. **Healthcare & Demographics:** A conservative projection suggests 60-65% of the US population could be on GLP-1 drugs within 5-10 years due to cardiovascular benefits independent of weight loss. Novo Nordisk (70% revenue from GLP-1s) and Striker are highlighted as beneficiaries of aging demographics with lower valuations compared to tech giants.

7. **Netflix Valuation:** Netflix is trading at 21x forward earnings but faces pressure as a "bull market" for content consumption. The speakers argue it offers value due to high-quality app functionality (better than Apple TV/competitors) and well-managed capital allocation despite recent stock drawdowns.
8. **AI & Tech Risks:** OpenAI and Anthropic face significant key man risk due to leadership exodus and lack of defined earnings models. If the major players in AI diminish output, the entire ecosystem could collapse, representing a 60-80% market cap loss risk with no visible revenue safety net (unlike SpaceX).

9. **Regulatory Capture:** The speakers criticize industries like cannabis for having regulatory structures that incentivize consolidation over small business ownership due to tax and liability burdens. They argue that true efficiency allows profit, whereas restrictive laws create monopolies and systemic inefficiency.

10. Actionable Takeaways

11. **Invest in Macro Winners:** Look beyond obvious tech sectors (AI/Cloud) and identify "second-order" beneficiaries of existing macro trends (e.g., companies providing joint replacements or hospital equipment that benefit from AI manufacturing).
12. **Avoid High Hype Risks:** Be extremely cautious with companies trading at trillions in market cap based on undefined growth narratives (like OpenAI/Anthropic), where a single negative headline could wipe out capital.
13. **Diversify Healthcare Exposure:** Consider exposure to established healthcare companies with strong balance sheets (e.g., Novo Nordisk, Striker) over pure biotech players facing patent cliffs, while remaining aware of the commoditization risk in medicine.
14. **Evaluate Business Structures:** Analyze industry regulations not just through a political lens but for their economic impact on small business incentives versus conglomerate consolidation.
15. **Consider Personal Health/Peptide Use:** If interested in GLP-1 technology, consult with medical professionals regarding microdosing

to mitigate health risks while potentially improving sleep, energy, and metabolic control (specific personal anecdotal context provided).

Full Transcript

I think it's really important in these times when one macro theme is really driving everything to remember, hold on, go look at the other macro themes that we know about. Go look at these other issues because they're going to benefit from a lot of the stuff that we've been talking about, which is we all look at the stocks going parabolic. We forget about where that capital is coming and the fact that it's probably creating really cheap opportunities on the other side. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always please remember investing involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I am joined as always by the brace for the brain trust himself Mr. Chase Taylor Hey Cyrus Nogget I'm just kidding you. That was a one That was a one-time special So if you guys listen to the podcast yesterday, you saw some parenting in action And I thought that was going to get edited out because Chase wrote down the edit times. I told Chase, now we should just leave it in there, kind of joking. I took it seriously. So we got a little, you know, A, it's a double dip though, right? It's little, you know, a little parental inspiration or, or, or, or, you know, showing you how to shout at the kids a little bit and providing some market insight. You know, I mean, we're here to help baseball on how the sausage is made.

Yeah, you know it. You know it. Especially when they cross over that 10, 11 year level, what in the heck are you doing? It just doesn't carry the same weight as a hell. What in the hell is going on here? All right, man. So many

interesting different angles to go down to today. I want to talk a little bit of aging populations, baby boomers, investment opportunities inside of that, GLP-1, second derivatives, got some really entertaining stuff. And then our good buddy, and I, well, I should say kind of like a spirit animal to you, Mr. Bill Ackman, personal hero years, I know. He had a recent pickup in his portfolio that caught my eye because it's one that we've talked about a little bit recently.

It may not be this. I haven't done enough of my research on it recently, but it might be just kind of a wonderful example of buying a good company once a lot of really exuberant expectations are taken out of it. And yet the underlying reality hasn't changed much. That's kind of what it seems to me on the purpose. So anyway, we'll get to all that. But I know you've got some stuff that you'd like to discuss as well. Let's start with the rundown and take it from there. Yep, S&P closed the day down 0.2% the Q's down 0.14 Small caps were up half a percent Mac 7 down about 0.3 as well dollar down 0.3 All rolled X us was flat Nothing really moved in Mac 7 so I'm gonna mention any of those In rates you had the two-year yield up two basis points and then the 10 and the 30 both up about four basis points So on the 30, you're back to 5.26. Not great, obviously. Oil up 1.3%. You're at 82, about 82.30 now. Gold up 0.2. Silver down 0.3. Gold miners are up 1.9. And then vol, I think at a new low on the year. Front month vol is at 17.9. But a spot vol at 14.26. So that's pretty low.

Uh, are there are there any are there any are there any ETFs left? I don't want to interrupt you. I don't want to forget this. Are there any other short vol ETFs left? Oh, I'm sure there are. Yeah, I really have that ball. If you keep compress, I, you know, only in this market, I'm sitting there watching vol tick down lower and lower and lower and gone. You're not going to give us another vol McEddon type setup. Are you? And in any other market, I would say you're wasting your time even thinking about that as a potential, not in this market. Yeah, the only thing I would say though is, you know, looking at the futures strip, it's not that compressed and spotball is not tradable. So, and now if the futures were at 14, yeah, like, then that would be pretty scary. And if you had a bunch of size, you know, in those short products, But I don't think those are as popular as they used to be because why shortfall when you could be long AI? Well, yeah, I guess it kind of

effectively the same proposition, right? Do you have any is that it on the rundown? Yeah, that's it for the rundown, but I'll add some data today because retail sales was was interesting Was expected to come in positive point one came in negative point six for headline and then for the the control group, which is the better way of looking at it was supposed to be positive 0.3 came in at negative 0.4. So moral of the story is retail sales sucked. And then UMish, which I don't really pay a lot of attention to normally, the sentiment survey was supposed to come in at 55 and came in at 51, which was pretty light. So the real economy just seems to be, you know, you go back to non-far payrolls wasn't great. Now you got, you know, job or, you know, retail sales just just getting a little you know at least taking a break here for for like kind of August July it seems like just we go from you know just full-blown like high nominal GDP the last you know six months or whatever to all of a sudden sputtering a little bit so I don't think it's anything anything major right now but it at least starts kind of pop up a yellow flag to say let's watch a little closer to move forward.

Yeah, especially again. Yeah, like you said, man, it's no reason to freak out. What is interesting, you know, whenever you see one of those numbers come in in a one-off way, you're always going to have people that overreact to it, right? No, this guy. Oh, yeah. Yeah. And the reason I know that is because I used to, right? When I was still bearish looking for the second dip recession in the end of 2010, right? I'm glad to grab it on to any negative headline I can. Right. But I honestly don't even look anymore until I see two or three. Now you've had two or three that really cut against the strong economy narrative, and I'll be honest with you, when I'm looking at the setup right now, it's a bit surprising to me. Now, when things are this expensive, when leverage is this much, to see a slowdown starting to begin, that doesn't surprise me. What surprises me though is that I haven't really seen any of the underlying factors that have kind of driven this thing up until this point. I haven't seen any real changes. Well, the only thing I would say is, hey, maybe rates are certain to bite and maybe gasoline prices and diesel prices are certain to bite a little bit. You know, inflation has been, as reported, kind of calm in the last couple of months. Maybe people, instead of, you know, passing things along or just eating it and it's, I don't know, but yeah, maybe price go away next month or whatever. But for now, it's slowing.

Yeah, and that's that is an interesting development one you want to keep Especially if now if you showed me an S&P that was flat or down, you know between flat down to 5% on the year I I would be like, you know, and obviously you wouldn't know that for sure But I'd probably point to that and say hey odds are that's probably the impact, right? But here you are up 13 and a half percent on the year on the S&P That's right in line with Graham and grandpa's annual raise right and they're 401k I'm I'm I'm a bit I'm a bit I'm a bit surprised to see that that definitely something to keep an eye on far from panic levels, but I'm wonder yeah That's interesting. It's interesting that in that backdrop the two year was up Like the rates were up across the curves you would kind of be and that that kind of underscores something interesting that I've talked about like You get bad economic data rates basically go out the week, you know on the back end at the highs two years up on a day where this happens. It's like It's starting to feel very real that anything that pulls hikes away, the bond market is like, no, no, no, you need to hike. So even bad data is doing it, which is fascinating. It tells me like if they don't hike in September, the chances of the bond unless there's a massive slowing between now and then like that the bond market may hike for them again and that's something to watch next month. Yeah.

take the like we've talked about before take the proverbial keys away right um okay so i really don't think they unless you know of something that i don't i i don't really think there's anything of no uh left to discuss or or new to discuss regarding the straits or oil or whatever um i got on it i'll go rapid fire on it if you want yeah um so the sitcom thing i mentioned yesterday they came out and denied that that well we didn't say anything to israel about wanting to go back to you know pressing the war um the president like 20 minutes ago said he was going to declare the state of her moves american territory so that was interesting and um what was the other thing oh the houthis are back at it so the houthis hit some more saudi infrastructure and some some saudi troop positioning and stuff today so like they aren't they aren't pulling punches and then after we two new strikes in this rate got reported after we uh were done with the show yesterday It wasn't clear if they were from yesterday or the day before, but... Now when he claims it to be American territory, that instantly opens it, correct? Right? I don't know. Is that how that works? Hey, again, not taking shots at anybody, but one of the... I saw one of the more peculiar... And I don't even

know who the guy is. It's a clip from Fox News, though, from this morning. And either...

Somebody adjacent to the administration or in the administration. I didn't even catch that part But I listened to what he was talking about and he was explaining how the flow of oil through the straight is way better than most people think and they don't understand it and it's the unloading of You know kind of the dark transfers that we've talked about and he's explaining it and how they're doing it and they turn off their Transpenders and he's like, you know right now it's working good now if Iran figures that out Maybe it won't work as well in the future and I'm sitting there listening and describe it and going wait wait a second wait a second if If this is all true and it's working as swimmingly as you guys say a Why are we still seeing still seeing historic draw levels coming out of SPR and B?

Why in the hell would you be talking about that on international television? Yeah, it's definitely not a secret. Everybody knows exactly what they're doing, especially the... Right, which what I'm saying is sort of proves him wrong, meaning if everybody knows what you're doing, then you're not getting out significant... You're not getting out amounts in significant sizes. It relates to the shortages this is causing. They've been getting out roughly five million barrels. It looks like there's days where it's... Press is higher. There's days where it's lower. But on average, it's been 5-ish. Okay, so about 75% to 80%. Yeah, but so about 75% to 80% of normal flow is still restricted. Correct. About 75% of normal and then, you know... Well, and then less coming out of the red sea too. So you're probably in effect, you're probably in effect back to the same impact that you had when nothing was going through the strait. That was what I was going to say is it's important to note like When you could could combine that with pretty decent Red Sea flow like you added all up especially with the Chinese buying less and everything wasn't bad But but now that you aren't getting the loadings at Yanbu are down significantly down like two million barrels a day like Okay, well now you have you know a problem and and that's why you see You know, well US oil import surging because that stuff doesn't want to go all the way to Asia You know, but that that means that you're gonna see the Asian Supplies and the European supplies the stuff start start to fall if we're not gonna do the heavy lifting, but we're gonna have to eventually so yeah

You know, we closed right on a downtrend line for like the December contract today on the oil so kind of right I mean you've been stuck in it in a little Area for like the last all week really but but very close to kind of a break higher at least on the chart So it'll be worth watching as we move forward Yeah, it'll be yeah, it's worth watching is probably the right way to put it Did we and did you say we had a couple more? Did I hear the news correctly? We had a couple more ships ships hit or yeah, they got announced last night two more were hit. Yeah, okay That's we've got to the point where is it's actually that the UAE Just directly saying like our ships got hit because the official reporting that used to always come from UK MTO or whatever like just they don't even do it anymore So there's been clear suppression of reporting on how much is getting hit and stuff. I think AdNock, the state-owned company there in UAE is up to 18, 19 that have gotten hit. Hey, now this is a bit random. Kind of a military curious question. I don't know if you know anything about it. A little bit of a dustup I was reading about. Couldn't really figure out if there's anything to it or if it was just kind of like people.

you know, just trying to blame everything on Trump. But there seems to be a consternation regarding the catapult systems are even put on new aircraft carriers. Have you heard about this? Yes. Yes, I have. So, so at first second, you know, the way the blurb was set up, I sat there and I went, oh my gosh, you know, another one Trump advocating for like, you know, 50 year old technology instead of new. Then I read a couple other things and went, well, they're having functional issues with it. And the steam catapults worked very good and were highly reliable. And so maybe it's a case of that more expensive newer technology just not being ready for prime time. What is the no-nonsense, no politically inspired take on that whole situation? Yeah, I'll start with saying it's not completely insane to view it that way the way he does. But I do think it's incorrect. The ships that they're going to do this on were literally designed to have the electromagnetic It was like built or it was like built the ship was like effectively built around the design, right? Correct and to go back in time to put in steam instead You have to put in obviously pretty significant infrastructure Costs billions of dollars to take a lot of time to kind of retrofit But what's important to me though and I say this is a former aircraft maintenance guy so you know it's important to me but the beauty of the electromagnetic is you can kind of more Tightly

specifically throttle that power and that lets you dial in Depending on what aircraft you're using better and that that reduces stress on the aircraft So if you have some little aircraft and it's it's kind of hard to get it down enough and you kind of put some like real jolt on it Then you're gonna put too much stress on some of the smaller aircraft So when you go to electromagnetic it lets you dial in for each each aircraft let you go faster like the iterations between launches Um, and they got data on that that shows how fast, how many, how many launches you can do with each system. And you can do more launches with, you know, well, from that standpoint, I'm going to maintain and we might want to be like, let's do less launches, but yeah, operational standpoint, you want as many birds up as you can get. So yeah, that makes, yeah, that makes sense to me. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ.

You know, one of those things, anytime you see anything regarding Trump that's in a negative light, you've got to read the details because, you know, there's obviously so many people in the media trying to take, you know, at the end of the day, and I hope this comes across to people, you know, when it comes on the investing side of it, I think that you and I try to, and I think we do a pretty good job of staying politically agnostic because, you know, like we've said from the very beginning, this game's hard enough if you're not mixing in your political machinations. And I think that's true on both sides, right? Having the ability to with clear eyes, look at the things the administration is doing wrong. Also with clear eyes, look at the, you know, examples of TDS that pop over where, you know, we're attributing everything, including childhood obesity to Donald Trump, right? Like there's a, there's, there's kind of that, that truth in the middle zone. And I don't feel like a lot of people want to, want to reside in that truthful zone these days. Okay. So I'll throw a couple of things at you.

Obviously something that you'd have been better jumping on about six to eight months ago, maybe a year ago when they first came out, but like the GLP one thing, the more and more I've looked into this, the more and more

I look at the extrapolation of these peptides, I'll just say it, and this might sound a little bit hyperbolic, but. Within the next five to 10 years, I would be surprised if somewhere, conservatively, between 60 to 65% of the US population isn't on some form of this. And maybe not the whole population, maybe the population above 18 or 21, but meaning just a massive percentage of it. Because when you look at how long this stuff has been around, The benefits and costs of the medication. It appears to be very non-toxic, at least just the... I'm not talking about all peptides, right? We need to make sure that we separate those discussions because a lot of these peptides have not been around for 20 years and have not been being used for 20 years, and we don't have 20 years of data. And so, let's, you know, once again, let's enter some nuance into the conversation. One peptide being good does not mean they're all good.

And it doesn't mean they're all bad. It just means that they're new and we don't have a lot of information on them and we need to go carefully. But when you look at the fact that on the GLP-1 side that they've been proven to reduce risk of cardiovascular disease, regardless of weight loss, a lot of people will be like, well, if anybody loses 40 pounds, they have lower risk. No, no, we're talking about in control groups that weren't even obese, you see notably lower risk of cardiovascular disease. And, you know, look at one of the, you know, the biggest strain on our medical system in the United States is, without question, cardiovascular disease and obesity and the derivatives of diseases and sicknesses that come off of that, right? This appears at this point. Now, obviously, you know, things may change as we move through, but this appears to be at one point, at this point, as as close to, I mean, again, certainly not this, but in the neighborhood of being a panacea as it relates to the biggest negative medical impact to Americans. And I just see it continuing to proliferate.

You know it decreases the use of CPAP machines sleep apnea there I mean there's so many other benefits when you start going down the road or going down the line of things that it can impact positively. It's really hard not to see these things being around for quite a bit quite a bit longer and so that led us down a path of looking for you know investable opportunities in that space and you know as you can imagine. You know, we're kind of late to that, right? This as far as the investing story goes, it was obviously a much

richer target, a much bigger target, a much juicier target a year ago. That being said, we found some really interesting things, man. And I've not done enough research on these. So we haven't built a position yet. We're still in the process. But looking at a company like Nova Nordisk, right, where virtually, what is it, the massive amount of their We just went over this morning, so I don't want I want to say it was like 65 70% of their revenue is directly attributable to GLP ones And they had been using them for or they've been involved in them for a while because they're primarily a deal most of their money most of their revenue is coming from Diabetes treatments and and things of that nature. And so they've got an extended experience with them Interestingly, Nova Nordisk has had some tar knocked out of it in terms of stock recently, but it's created a pretty interesting proposition. It's got a nice dividend, good looking balance sheet. And when you look at the aging population, like I said, one of the things that we cannot forget to stay focused on its investors is macro wins. And everybody's like, oh yeah, well of course, macro wins. Yes, but there's always multiple.

Macro, you know, I mean at any given time you got multiple macro winds blowing in different directions and One of the things I like about this whole baby boomer, you know senior care facility type investment loop or segue or Lane if you will is because if we look at AI obviously a massive macro wind, but there's so much unknown, right? You know what isn't unknown? What isn't unknown is that the number of people in the United States, and for that matter in a lot of parts of the world, there will be more people needing cardiovascular type drugs in the next five years, joint replacements, senior care facilities. That number is going up, okay? And it doesn't matter what they, you know, outside of nuclear holocaust, that number is going up and going up considerably. And the thing I love about that, and I know you and I have discussed it, and I know you agree, is the certainty of it.

You don't get a lot of macro winds that are blowing in ways that are, again, it's impossible to know exactly how long that wind blows, but it's got a lot of runway. And I think when you get into those things, it's one of the reasons you and I like macro and have been attracted to macro is because when you get that macro wind right, even a bad sailboat can make good time. You know what I mean? As opposed to having that wind at your front.

And so that's an interesting name. And then as we always do, and I kind of thought this was a good educational point, or even just sharing a tip from things that we've learned, is that whenever we look at stuff like that, we probably do it backwards from most people. Because when we jump into things like this, we're looking first at the second and third order effect type stuff, just because you and I have had that in common, which is, you know, that's typically where the gold's hiding, right? Like when you go out there right now, you're like, oh, buy this company for GLP ones. Well, you know, once again, you're about a year late to the party. A lot of that value has been realized. But what about the second and third order effects? And we ran into it in that in that vein, we ran into Striker. Have you ever heard that company pharmaceutical medical device type company? Yeah.

That's another one that lines up. There's some ancillary benefit and some ancillary crossover in the GOP one side of it. But again, thinking about a company that is going to benefit drastically from AI, that's going to benefit drastically from different ways to deal with long-term care, i.e., thinking about hospital beds, hospital equipment being brought into hospice areas, right, into people's houses. things of that nature. When you think about the progressions that we've seen in joint replacements, and then you think about the exponential curve on how much better joint replacements have got over the last 30 years, then you apply the magic. AI is going to make that better to some degree, right? Whatever, whatever that ends up being. Additive manufacturing and stuff too, yeah. Yeah, I look at a company like Striker again. And this kind of goes to our entire point.

about looking for other looking outside of the obvious stuff Don't don't get me right. I believe it was striker. You sit there and you look at the company You're growing at I want to say 13 to 15 percent a year Okay, I believe they're knocking out 25 percent net margins You look at the macro wins and what's feet? What what's pushing wind in that sale that ain't ending anytime soon if you put tech on this If you put AI on this thing, go look at the margins, revenue growth, and everything compared to an Apple, okay? And the reason I bring it, well, it's not Apple, you're right. I look at the macro when it wins backing up a company like Striker, and I think they're a lot more certain than the outcome for Apple over the next five to 10 years.

Now, Striker's a smaller company, so it can get beat around by the waves in a bigger way.

You know, I think it's highly, when I look at the companies like Striker, I think it is much more likely that they're in a phenomenal place five to 10 years from now. I would bet on that outcome. Like, for instance, if you put a basket of those companies together and ask me to bet on them versus a company like an Apple or, you know, potentially even an NVIDIA, even companies like that, NVIDIA being different than Apple, but using Apple is kind of a that feels like a no-brainer to me. You could even throw a Netflix into that car. You know, there's so many companies you could throw in there where you're like, man, the path forward to this company looks so much more certain. The growth curve looks so much more certain based on the demographics and things that we just discussed. And then you go compare valuation. The net margins are better and you go compare valuations and those straight things are trading at two to three times, right? I think it's important for people to remember the reason those companies are trading at higher valuations is because of things like, you know, the belief of never ending demand, right? Great margins that aren't seen, you know, they're significantly above average. Well, you start looking at all those factors, you're going, wait a second, this company doesn't make its money off tech, but it's putting up the same kind of numbers, right? We're looking at double digit growth, we're looking at 20, 25% net margins. Like, you're looking at a pathway forward that is, again, They could face idiosyncratic issues, but five years from now, there will be substantially more demand for their products than there is today, right? So, looking into those things, and you and I have bandied this around, and it's been one of those things that keeps coming back into my locus of, or back into my dashboard, if you will, and keeps coming back across my desk. I think it's really important in these times when one macro theme is really driving everything, to remember, hold on, go look at the other macro themes that we know about. Go look at these other issues because they're going to benefit from a lot of the stuff that we've been talking about, which is, you know, we all look at the stocks going parabolic. We forget about where that capital is coming and the fact that it's probably creating really cheap opportunities on the other side. Yeah. And as you're saying all that, it reminds me or that not really reminds me and made me realize we're at least 6% kind of in this theme now.

between healthcare equipment, just biotech and then Chinese biopharma stuff. I think when it comes to maybe the GLP-1 providers, the only thing to keep in mind is going to be that patent cliff that falls off whenever the competition really ramps for that stuff. That's a tough thing with medicine is when it gets totally commodified, sometimes it gets tough. And that's kind of why one of the reasons I like the Chinese names is they're just signing giant contracts to do the R&D side Without having to deal with all the headaches downstream of it, you know what I mean? They're kind of it's a they're very upstream In the product at least for now in the process obviously they also make a lot of the precursors and everything that we that we use but Yeah, I mean I think at the end of the day a lot of A lot of health issues in America is because we as human beings Overfeed right we just eat too much and that's I think that's why like even if you don't lose weight I bet you eat a little less and and You know right and just overfeeding causes a lot of problems Yeah, and what we eat and and I'll just tell people I've got no problem admitting it I'm really out of curiosity and advice from a buddy of mine who's a gastroenterologist Is that what you call a guy? He's a gastro surgeon. So he specializes on the dietary tract. He's a surgeon, very bright guy. And actually, another buddy of mine that's a doctor, both were telling me, hey, man, like, you're really into fitness. If you want to chew off those extra, you know, seven to eight pounds of fat that you've been trying to get rid of and increase cardiovascular health, they go, give it a try, man. Just microdose it. And then I got really into reading and researching about the microdosing.

I ended up, uh, I'm on it a little bit of it right now. I take about one sixth, one fifth to one sixth of a normal prescription for a guy my size. And what I've experienced, um, I'm not going to be on it a long time. Just like I said, I, I'm, I'm kind of a forever workout person, right? Perennially, um, but it kind of hit a plateau and busted right through that plateau. And, uh, I've slept better. I feel better. And again, I have no idea. I have no experience or the F. Well, actually I do. So I, in this process, I accidentally gave my, you know, the story accidentally gave myself a full dose. It was not fun. I, I was in a bad place for four days. Uh, little misdosing got back to the micro dosing, um, deal. And, um, man, I've, like I said, I've slept better. I, I was an often on snorer. My wife's telling me she hasn't heard me snoring. Um, I feel

great. Energy levels are great. And what I've noticed for me is cause I'm taking that.

It it it hasn't killed my hunger The biggest thing I've noticed is it has prevented that late night snacking Which that was my that was my killer. I'm a pretty disciplined eater all the years of playing football and all that kind of stuff, right? I was always trying to gain weight in a weird way that made me a really disciplined eater So that's all but it's the late night watching tv chilling man, you know the little pack of snacks little little bowl of cereal late at night, you know what I mean and And my body's just really sensitive to it and was really good at holding that on. And so my biggest thing is it the micro dosing has really made turning down non sensible foods much easier and has helped me hold to my hold to my, you know, to eat healthier, right? Probably eating a little less, but really not that much. It's more about what I'm eating and it's just making it a lot easier.

And obviously everybody's got to do it on their own and go check it out and all this kind of stuff. This is not something I'm going to be on long term. I'm going to see how it goes. I'll probably cycle it to some degree. But if people have hesitations about it, talk to somebody about it, man. It's pretty interesting. Obviously, there's a lot of other cool stuff going on in the peptide space. A lot of it appears to be uninvestable. It kind of feels similar to marijuana. When you knew that there's this, oh, there's a big new thing coming out, but there's just not a lot of places to put money in terms of public securities and things of that nature. But definitely something that I think people should look into and give it a try. I don't know if you have any thoughts on that. I don't. I've not researched this near as much as you, but it made me look up the cannabis ETF, which has been basing now for the last couple of years. So I'm ready to get hurt again.

Did she do this? Is she is she looking rookish at this point? Yeah, I kind of yeah, which so is a so is Novo has has, you know got smoked in his and now it's basing basing a bit Lily not as much lives doing fine, you know The cannabis debate or the cannabis situation of me is an interesting one I would prefer a world in which nobody used mind altering or chemicals, you know, I mean, like if somebody is looking at me, I'd be like, hey, you're better off not using any of that stuff, right? Like any kind of drug, any kind

of thing, any kind of, you know. So when I hear the people raging about marijuana being legalized and that leading to more legal, that leading to overall more marijuana use, I think that that's a really hard argument to push against. I mean, I am in favor of more libertarian stances as it relates to governments and substances like that. Yet at the same time, I think it's really hard to argue that legalizing a substance won't lead to wider adoption or wider adoption in society. More people will try it, right? You lose the... I mean, there's some people that are gonna be drawn to it due to the lure of it being illegal, but I think a much higher number of people would be willing to try it and use it because it's not illegal, right?

I don't I don't In all of those things combined including the way the industry is set up and how much it is dominated by state politics and state regulations and laws It makes it a really I don't know how I feel about it truthfully And I really can't find a way to invest in it that makes sense I've tried to revisit that now if we get a good chart on it might be something you take a stab at but You know, they're getting really bullish in like a 50% drawdown and that was probably like 80% ago Yeah, yeah, and that's why we avoided it the whole time because I actually a buddy of mine set up a legal States Tier 3 grow here in the state, which is the largest thing you can get I was not involved at all other than the fact that I helped him set up some Structure some financing and helped him close a financing deal as a friend and One of the reasons I didn't get involved is because uncertainties I had with it, you know, as it relates to morally and socially and things like that. But the other side of it that I didn't get involved financially is people just need to understand. It's everybody's like, oh, it's going to be so great. And I'm like, you need to understand the laws underlying this because this business is not at all a free break. There are, you know, just the issues with banking, right, to bring up one of many the issues in term.

oh my gosh taxes are just like in a state like washington and it shouldn't surprise anybody i don't i don't intricately know other states setups but in a state like washington um it was the worst design setup possible it meaning you have the least amount of tax burden on the people that take the least amount of risk in the industry Those who run shops, right? Like retail shops. You have by far the most amount of risk and liability on the most capital intensive part of the business, which is growing it, right? And when

you step back and look at the system, the only way the system can work and function and create good outcomes for investors. And when I say a system works, that's another reason why I push back on all these people clamoring for socialism and communism. And you go, hey, guys, profits are a sign of a system functioning well.

Profits are a sign of efficiency, for the most part, outside of monopolistic issues and things like that. Right, except for massive profits, yeah. Right, right. So when you design a system where there can be no profit, which is effectively what they did, especially on the most risky aspect part of it, what you've done inadvertently is you have incentivized conglomerations. You've incentivized Right bigger bigger bigger you've incentivize less mom and pop ownership and funny enough my buddy ended up selling his operation for that same reason right who bought it. People that are consolidating these things together and this is my biggest thing to my friends on the left is looking at them and going guys. you literally are creating if we go down this path of legislating this way and being this restrictive and things of that nature you're generating in you're generating the opposite of the outcomes you're looking for right you don't want more concentrated wealth and hands and yet you keep passing laws that make it a necessity to stay alive and i've used bulwark as an example right you look at the setup they've made with taxes here on a financial basis i am dumb for not selling part or all of the work to a bigger competitor of ours. Right? I'm dumb. I like the regulation I'm getting the amount of taxes I pay on that transaction or half of what I pay every year on income taxes. And I'm selling to a C Corp that has a tax burden that's effectively 35% of what my tax burden is. Right? And so I just, I don't know, I'll get off my tax, my anti tax soapbox. Okay, we got to put it in there once the show.

Yeah, well, it's just, it's things that I, it's, there's so many, you and I talk about this all the time. There's so many issues out there today that appear to be, that literally appear to be political debates. And I think if people really understood the ins and outs of it, they'd realize, okay, really, this is not a right or left issue. This is a, I think we all, from all political sides of the aisle would sit there and go, you know, if we had everybody together from all ranges of political walks in the United States and say, Hey, Do we prefer more businesses that are owned by individuals and families? Or do we

prefer a world where you have way less businesses and they're all owned by giant corporations? I think everybody would raise their hand and say we want more small business. Okay, well then let's quit passing laws that incentivize the exact opposite and are effectively written by the experts who are what? Usually executives at the largest companies, right?

And people like, oh, it's a conspiracy. And you go, no, no, no, man. If you're a lawyer and you've been elected to office, and all you've been is a lawyer, I don't mean to tick off any lawyers. But you know the law. You do not know capital formation. You don't know investing. You don't know economics. You just don't. It's not your area of expertise. And so if you've got questions about how a certain law or regulation is going to impact a sector or a body or a set of companies or whatever, who are you going to go to? Well, naturally, it makes perfect sense. You pick up the phone and you call Microsoft, the CEO, right? You call Bezos. You call these people that you have access to. And I get that. But then don't be surprised when the information that they're feeding you is self-serving, right? Like, you know, it was like, I will never forget when Zuckerberg stood up there on Capitol Hill and said, we need to be regulated. You got to regulate us more.

Well why was he saying that because it's a competitive advantage to him right regulatory capture like we've told people a hundred times if you're not familiar with that term go look up a TED talk by bill girly on youtube and look up regulatory capture bill girly he'll walk you right through it in a way but and far more accomplished guy than i am listen to what he has to say about it but. Anyway, and I think that applies writ large. I think there are so many of these issues right now that have common sense solutions that really aren't represented by either side of the political aisle. And if people kind of knew the, knew the real guts of it, you know, and I'm not going to go off on another tax tangent, but like, if people understood the actual truth underlying the income tax debate in Washington state, the tax would lose probably 80% to 20%, 75, 25, somewhere in there.

Um, and so anyway, just I was having that conversation with my kids last night. Don't ever be a one source gatherer of information. Always find source data and make up your own mind. Right. Um, because pretty much everybody telling you what to think has an incentive in you thinking that.

Yep. No, no. Right. Uh, okay. Another one. And this is one that we haven't, we haven't done a lot of research on, but, um, It's a company that I have always said was very well run and very well managed. I didn't like the structure because of what appeared to me as being a never ending need to spend money, a capital intensive business, but Netflix. I just think that they're very well run and I think that they have gotten much further and encompassed far more of the entertainment world than I ever thought they would.

It was a bit of an eye-opener when they started broadcasting live sporting events, fights, things of that nature. I thought that they did an exceptional job broadcasting them. I thought it was done very well. And I looked at it, now I think it was ridiculous at 40 to 45 times, right? But a lot of starch has been taken out of that name. our buddy Bill Ackman just made it a position and he specializes in concentrated investing. So he's putting a chunk down on it. That doesn't mean anything. I'm just saying, don't ever invest because somebody else bought the stock. And the reason why is because unless you know why, you don't know why. You don't know why. It could be playing a completely different role in the portfolio. Ackman's a little bit different. Whatever you think of him, I'm not sitting there saying that I think he's a god of investing.

I think he is a bit of a perplexing guy to me, meaning I totally understand the people that think he's a carnival barker and a huckster and a complete waste of space. I understand why they think that. I'm also sympathetic to the fact that I think that it's entirely possible he could be a much better guy than people think and could just be could just have a bad rap. Regardless of that, the reason it You and I have spoken about this before, and this is kind of a weird part of my own investing process, but a lot of times I pick stocks because the theme just keeps crossing my desk. I'm not there yet on Netflix, but I think his point is interesting because I've seen the struggles of that company as of late. I know the underlying narrative for the stock drop, and I will tell you, I think the drop in the stock of the price or in the price of the stock And again, I haven't done my deep research on it. We're looking into the name. But I think the way it's been pounded is about as ridiculous as the valuation it had prior to that, right? It feels like a yo-yo kind of super ball reaction to me on both sides of it. I will say this, what I do know about the

company, like I said, is they have been very well managed. They have done a very good job, I think, of allocating capital and building their business. And that's an interesting one to me because I think they're a really good company.

Don't know enough about it. Yeah. Yeah, I just The trading like 21 times forward earnings, you know used to always be above 50 Granted the growth is more like 12 than 20 to 30 That's why but I don't mind companies that aren't I don't I don't need my companies to grow 30 personally, you know now granted once not not dirt cheap or anything but like I think the biggest thing to me that changed is I used to view as like, this is going to be the first thing people get rid of to cut spending. And it did flip for me to like, it's going to be the last thing because it's cheap. It's cheap entertainment. It's better than going out. Yup. And everybody and one of the things got me to look at it recently is a lot of the bearishness. Again, it feels to me like a classic price drives narrative thing.

because a bunch of people, oh man, we're getting rid of Netflix because it's gotten too expensive and all this kind of stuff. And I'm like, it's funny you're saying that now that the stock just got slammed, right? Because as much as I wanted that narrative to be true when I thought it was really overpriced, I came to the same conclusion when it was still overpriced. I went, you know, I don't think they're cranking out as much good content as they were, but they're cranking out so much more content that it's probably just my perception. You know what I mean? They're probably putting out more good content now than they were. They're just putting out so much. There's so much streaming content among all the platforms that you couldn't hope to keep up with what's going on out there anyway. No, no. And I think that they are a bully in that space in a way that, you know, for instance, and now I know it's a little bit different, but Amazon tried to do to them exactly what they've done to everybody.

and go look at Netflix just kept on growing. You know what I mean? That's impressive to me. That is impressive to me. Here's the other thing I'll say about it, and this is kind of a small thing, but I think these are little things that investors look past. As a guy that uses Roku to access all of these apps, the best functioning app out of all of them, and it's not close as Netflix. I

mean, go run through Netflix and then go to Apple TV. It's insane to me, which is another reason why I can't get bullish on Apple. I'm sitting there going, why would you launch an app that isn't substantively better than everyone out there? You have the muscle and the capability to do it. Why wouldn't you do it? It makes no sense to me. But Netflix does. And when I see Netflix holding companies like Amazon and Apple at bay, it means they're pretty good at what they do, right? So I think that might be one of those, what did you call it?

I mean, we're not a, we're not a coffee can levels on that thing for you. But no, but, but I mean, it had a sizable pullback. It came all the way back to it's 200 week, actually closed one week under it, which was a trap because since then it's actually done, done well. Um, and to get nerdy on the technical stuff, like he go back to like 24, it was like this area that was like really tough for it. And that's exactly where we bounced off now, but it's still. It's still in a yeah a 41 42% drawdown something like that What movie is that from in a in a well not gonna be here for long Well, that's not office space when he's trying to pronounce the guy's name and he go I gotta watch that movie. It's been way too long It feels good to be a gangster remember that song He's cleaning he was because that was the ghetto boys wasn't it the same thing Gang, it feels good to be a gangster. I don't even know. I can't remember who that was. Anyway, um, he's clean and he's clean and trout or he's clean and fish at his desk. Cause yeah, I just love that. You had a meeting with Tetris and stuff. Yeah. Oh man. It's just classic, just classic. And then, and then Michael Bolton, the, the, the white guy with the super nerdy white guy that's just listening to gangster app on the way to, way to work.

And a black family pulls up next to him and he rolls up his windows because you know it was so far. Oh man, that movie is hilarious. I got to see that again. Anyway, man, did you have anything else? I came with a bunch of lists today as stuff that I want to talk about. And I kind of rolled over the top. Do you have anything else you wanted to address? The only other thing I was going to mention because we hadn't talked about it yet, not public yet, obviously open AI, but they've had a pretty nasty exodus of leadership. You know and that them and enthropic both seem to want to you know Go go public at one two trillion dollars something like that. I mean who doesn't

just yeah, just to see them have this leadership kind of Like black hole all of a sudden and I haven't seen anything that's like definitive on what's going on or why or You know anything but it just it seems notable and something else I'll mention along those lines that we We talked about AI a lot. Something I think people are missing and I picked this up from Rupert is the percent of the spend that goes to all the hyperscalers, the neoclouds, obviously the chips, basically the entire ecosystem, the percent of that spend that is just driven by Anthropic and OpenAI is scary. So if those two big frontier labs were to downsize anything, like the shockwave that sends through the whole ecosystem is massive. There's kind of that key man risk at the top between those two that's significant. So to see one of them wobble a little bit here, and not just, you know, it's leadership stuff, but, you know, they haven't had the hot, cool, new model for a while. So just to see one of them shaky, if investors get freaked out and stop giving them money and they stop, you know, they could sit a shockwave through the whole thing that it doesn't feel like people are concerned about, and I don't understand that given their footprint, I guess you could say. Yeah, I think it's just, and I'm totally speculating here, but I think it's just that folks, when you look at, I mean, there's always a couple examples, but when you look at this market, it really is unlike any other time in market history, meaning Pretty much every great new fad or development over the last 15 years has gone well, right? Like social media, you know, again, there's some small ones that haven't. But investors have seen over and over and over over the last 15 years that these new technologies are where you make all your alpha, right? They've seen them succeed over and over and over and over again. And I think a lot of that is extrapolation.

this unlike so many others before, right? Because if you think about, there was a lot of hype, retrospectively looking at it, there wasn't nearly enough hype. But when you think about the hype that, you know, surrounded Facebook at its IPO, when you think about the hype that surrounded Google in 2006, 2008, 2010, that hype was driven because of the metrics and the production that they were putting up, right? The unseen growth, In terms of the pace of the growth along with the margins that they were generating right it was the performances of the businesses and when we were staying there when I say we I mean investors writ large when investors were staying bearish on those things and doubting them they were doubting that

they could continue. Producing results the way that they had when you look at where we're at right now with AI we don't even know what those results look like and quite honestly we don't really have a good.

We have really no way to forecast them. I mean other than we can sit there and be like, oh, we all think they're gonna be big Okay, well, what does that mean? Right like I don't know I could mean a lot of different things and the other thing that concerns me about it And I think you referenced this was anytime you invest in something Where all of the companies involved in all the investable opportunities in it are surrounding companies or are on companies that have that much hype built into their price. And people go, well, how do you declare it hype? Very simple. I'm not saying it's not real. I'm not saying, all right, little difficulty, but we're back. So to finish that point, this is why it scares me is what you bring up is because when I say fluff, it is entirely possible that 10 years from now, it's not seen that way. But right now, you've got literally trillions of dollars of market cap betting on the come.

and and the reason is a risk manager and investor why i am far more concerned as opposed to excited like most money managers are is i have no way to risk handicapped and like you put out you are literally one headline away from a lot of those names losing 60 to 80 percent of their market capitalization and that might be that might be a bit over the top but it just, it's the way it is, right? When you're looking at companies doing 25, 30 billion in revenue with 2 trillion market caps, right? If that outlook changes at all, you're not talking about 15% drawdowns, you're talking about 67%. And they don't need to happen over a period of time, right? And I've seen that happen before, people think they have time, right? Well, you know, how many times we've seen it stock gaps down 40% in after hours.

your stop-loss doesn't mean anything at that point, right? That's gone, right? And so, there's no way to manage that risk. There's nothing to lean on, right? And the one caveat, we said this the other day, the one thing I'll say for SpaceX is it's the only one of those companies among just the AI names. Obviously, the hyperscalers are different. They have lots of different revenue sources in them. But in terms of those pure AI plays, it's the only one that's got any other types of businesses that you can rest a coffee cup

on, let alone the valuation. And, you know, not saying not to have any exposure, but that therein lies the problem. You're a bad headline away from losing half your capital or more. And there's no way to mitigate that risk. Yeah. And the last thing I'll add is, you know, if that does go pear shaped, I think we've talked about on the show, but like, does government swoop in to help?

But I would, I would say that is the single biggest political risk in America would be the US government come in to help AI. I think that would, that would go very, very poorly politically. So, um, yeah, something. Yeah, I would give the back of the noggin. You know, I, yeah, that would be tough to, that would be tough in my, in my opinion, that would be tough to play regardless of which side of the political aisle you're on. And, and as an illustration of that. I don't know how I'd handle it because I understand, you know, like generally speaking, I don't like it, right? Yet I understand. I don't think the people that are calling for it are completely illogical. I think the people that opposing it, I completely understand why they would and I tend to lean that direction yet at the same time, man. Yeah, that is that is that's the kind of the clinical definition of a political appetite. Oh, you got anything else? No, I'm good to go. Have a good week. All right, man.

So am I. I will will. As always, you guys can follow us on social media. I'm at KYR Radio, Chase's at Pinecone Macro. Get the video feed on YouTube, just search Know Your Risk podcast. You guys know the drill. Have a wonderful weekend. We'll see you Monday. You're listening to Know Your Risk podcast. Download and subscribe to knowyourriskpodcast.com. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.